

you would allow till that point would be different for different stocks. Every stock has its own risk profile. Some stocks could go down 50 percent, and it wouldn't necessarily mean anything. But for a stock like Coca-Cola, you should be reevaluating if it moves 5 percent against you.

Don't ever consider yourself right. The hardest thing is to sell on the way down. It's emotionally difficult because you believe you're right or that you will eventually be right. The best way I have found to do it is to begin by selling 20 percent of the position. That doesn't hurt, and if the stock comes back, I can still say I was right. If the stock goes lower, I can also say I was right because at least I sold 20 percent of the stock higher.

Is that what you typically do—scale out of a position?

Yes, I scale out, and I also scale in. The idea is don't try to be 100 percent right.

So the message is if you can't take the loss, take a little bit of a loss.

That way you will never be completely wrong, and you can reassess the situation if the market goes lower. It is all about keeping the portfolio from weighing you down. Sometimes, though, it is best to just liquidate the entire position. It's a good idea to harvest your losses because it forces you to revisit the trade. If you are in the trade, you are always defending it. Liquidating forces you to reevaluate the trade relative to other opportunities. You sold the position. Do you really want to buy it back? Or would you rather put the money in this other idea, which looks a lot better right now?

[Vidich has to take a break from the interview to check on the markets. I take the opportunity to speak to Davidge, who has been sitting in on the interview and probably understands Vidich's approach better than anyone else. Davidge begins by giving his own take of Vidich's methodology.]

One of the key characteristics of Joe's trading is his willingness and ability to gradually take losses. Joe's comments about the emotional benefits of taking losses incrementally can give you an insight into how he manages portfolio exposure.

One point of our conversation that I was particularly confused about was Joe's comments about sentiment.